

AP Micro- economics: The Complete Exam Guide

All 6 units explained, every graph you must draw, the long and short free-response questions, and 10 hard practice questions.

Hi, I'm **Pigo!** I'll drop tips all through this guide.



2:10

hours total
70 + 60 minutes

60+3

multiple-choice +
free-response questions

6 units

markets to
market failure

68%

scored 3 or higher
in recent years

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01 THE EXAM AT A GLANCE

Two sections, one score

Your AP score (1–5) is weighted towards multiple choice (about two-thirds). The free-response section is short but graph-heavy, so drawing correct graphs is essential.

66%

Section I · Multiple choice · 60 questions

33%

Section II · Free response · 3 questions

Exam structure

Section	Weight & timing	What you do
I · Multiple choice	≈66% of score 1 hr 10 min 60 questions	Define principles, explain outcomes and determine the results of scenarios, often using graphs and tables.
II · Free response	≈33% of score 1 hour (incl. 10-min reading) 3 questions	1 long question (half of the section score) and 2 short questions (a quarter each). Make assertions, explain, calculate and draw graphs.

HYBRID DIGITAL

Click in Bluebook, write on paper

You answer multiple-choice questions and read the free-response questions in the **Bluebook** app, then handwrite your free-response answers in a paper booklet. Practice writing clear, organized work by hand.

CALCULATOR

Four-function calculator allowed

A **four-function calculator** is permitted on both sections. Most calculations are simple; the hard part is knowing which formula applies.

How to use this guide

Just starting?

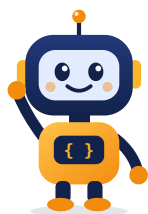
Read pages 2–6, then follow the roadmap on page 8 month by month.

Mid-year?

Check the traps on page 7 and drill the free-response playbook on page 6.

Exam in weeks?

Take the 10 questions on page 9 in 13 minutes, then use the final-four-weeks plan.



Pigo's tip: Economics answers follow a **chain**: "X changes, so Y shifts, so price and quantity move...". Practice writing every link.

SECTION I

02 The multiple-choice section

60 questions in 70 minutes gives you 1 minute 10 seconds per question.
Sketch a quick graph in the scratch area for any shift question.

60

questions, many with graphs

1:10

minutes per question on average

66%

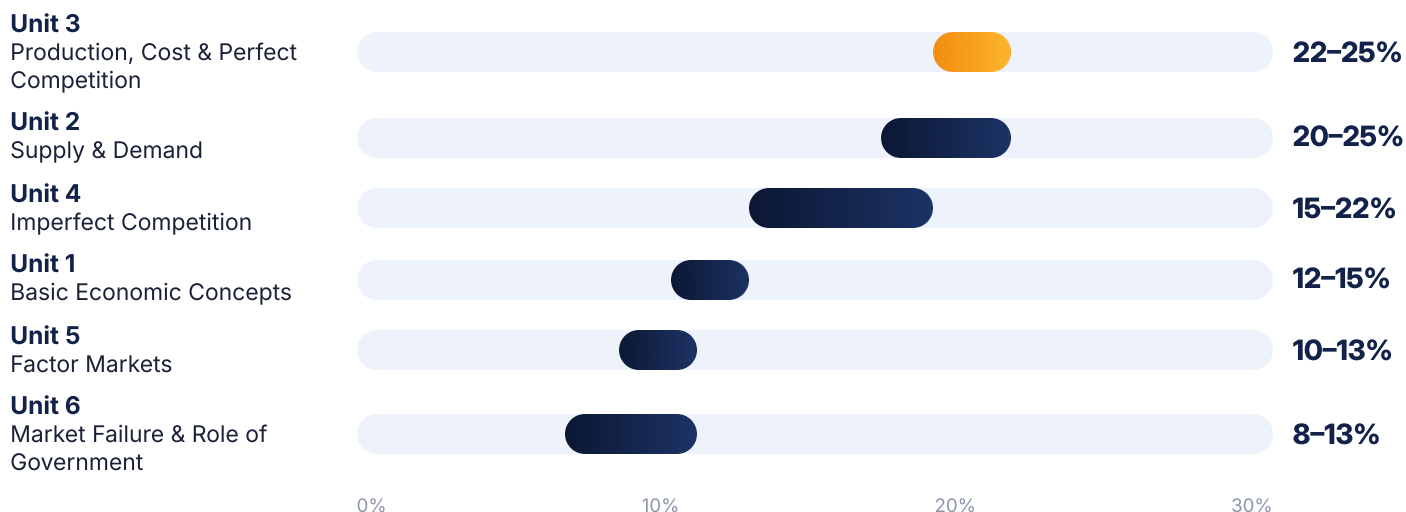
of your total AP score

0

points lost for a wrong answer, so never leave one blank

How the questions are weighted by unit

College Board gives a range for each unit's share of the exam. Bars show minimum to maximum.

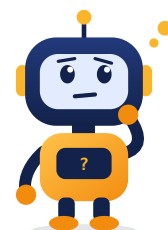


What this means for your study time: Units 2–4 (supply and demand, costs and perfect competition, imperfect competition) make up most of the exam. Master the cost curves and the monopoly graph.

Strategies that work on this section

- **Draw the graph** for every shift question, even a rough one, and label which curve moves.
- **Separate shifts from movements:** a price change moves along a curve; other factors shift it.
- **Watch "ceteris paribus":** change only what the question says changed.
- **Use formulas quickly** and estimate where you can.
- **Check signs and directions:** an increase vs a decrease is where most errors happen.
- **Move on at 90 seconds** and come back to flagged questions.

Every shift question gets a **30-second sketch**. It catches more mistakes than rereading.



03 WHAT THE COURSE COVERS

The 6 units, in plain English

Everything on the exam fits into these six units.

UNIT 1 12–15%	Basic Economic Concepts Be ready to: explain scarcity and opportunity cost; production possibilities curves; comparative advantage and terms of trade; marginal analysis and consumer choice.	UNIT 2 20–25%	Supply & Demand Be ready to: shift supply and demand; calculate elasticities; consumer and producer surplus; effects of taxes, subsidies, price ceilings and floors; international trade.
UNIT 3 22–25%	Production, Cost & the Perfect Competition Model Be ready to: calculate marginal product and cost curves; short-run and long-run costs; profit maximization ($MR = MC$); short-run and long-run equilibrium in perfect competition.	UNIT 4 15–22%	Imperfect Competition Be ready to: analyze monopoly pricing and deadweight loss; price discrimination; monopolistic competition; oligopoly and game theory (payoff matrices, Nash equilibrium).
UNIT 5 10–13%	Factor Markets Be ready to: calculate marginal revenue product; hire where $MRP = MRC$; compare perfectly competitive labor markets with monopsony; the least-cost rule.	UNIT 6 8–13%	Market Failure & the Role of Government Be ready to: analyze positive and negative externalities; public goods; corrective taxes and subsidies; income inequality and the Lorenz curve.

◆ The graphs you must draw from memory

Supply & demand Equilibrium, surplus, taxes and price controls	Cost curves MC, ATC, AVC, with MC crossing at the minimums	Perfect competition Side-by-side firm and market graphs	Monopoly D, MR, MC, ATC, profit and deadweight loss
Monopolistic competition Long-run tangency with ATC	Labor market MRP and MRC, competitive and monopsony	Externalities MSB, MSC, MPB, MPC and deadweight loss	Tip Label every axis and curve, every time

04 SECTION II The 3 free-response questions

One hour, including a 10-minute reading period, for 1 long and 2 short questions. Graphs earn many of the points.

Long Q · 50%

Short · 25%

Short · 25%

Long question = half of the free-response score; each short = a quarter

Long

Long question

~25 minutes

A multi-part scenario, usually about a firm in perfect competition or a monopoly. Draw the firm's graph, find profit-maximizing output, shade profit or loss, and analyze a change.

Draw one large, clearly labeled graph and reuse it for later parts.

Short

Two short questions

~12 minutes each

Focused questions on one area, such as a payoff matrix, an externality, elasticity or a labor market.

Each part asks for one thing. Answer it directly, then explain.

Graph

Graph rules

Where points are won

Label both axes, every curve, and equilibrium values (P_1 , Q_1). Show shifts with arrows and new labels (P_2 , Q_2).

An unlabeled graph usually earns no points, even if it is shaped correctly.

Why

Explain parts

Show the cause

When asked to explain, give the economic reason, not just the result: "because the cost of borrowing falls...".

Results alone earn the "identify" point but not the "explain" point.

◆ A time plan for the 60 minutes

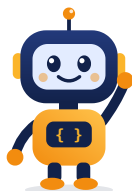
Reading
10 min

Long question
~25 min

Short 1
~12 min

Short 2
~13 min

A suggested split, not a rule. Start with the question type you're strongest at, and never leave a question blank.



Use the **reading period** to plan graphs. You can start writing as soon as it ends.

FREE-RESPONSE PLAYBOOK

05

Anatomy of a full-credit answer

Here is a practice question with a full-credit answer, and the habits that earn points.

PRACTICE TASK • WRITTEN BY ACT SAT GO

Practice prompt (long-question style): A monopoly faces demand $P = 100 - 2Q$ and constant marginal cost of \$20. (a) Find the profit-maximizing quantity and price. (b) Find the quantity that would be allocatively efficient. (c) Calculate the deadweight loss.

Full-credit response

① (a) $MR = 100 - 4Q$. Set $MR = MC$: $100 - 4Q = 20$, so $Q = 20$. From demand, $P = 100 - 2(20) = \$60$.

② (b) Allocative efficiency: $P = MC$. $100 - 2Q = 20$, so $Q = 40$.

③ (c) Deadweight loss is the triangle between demand and MC from $Q = 20$ to $Q = 40$: $\frac{1}{2} \times (40 - 20) \times (60 - 20) = \400 .

④ The monopoly produces less and charges more than the efficient outcome, which causes this loss.

① Use $MR = MC$, then read the price from demand, not from MR.

② Allocative efficiency is where $P = MC$.

③ Find the triangle between demand and MC.

④ Explain the cause of the inefficiency in words.

Five habits for every free-response question

1

Label every axis, curve and equilibrium.

2

Show shifts with arrows and new labels (P_2 , Q_2).

3

Answer each part separately and in order.

4

Explain the cause, not just the result.

5

Stuck? A correctly labeled graph still earns points.

06 LEARN FROM OTHERS

10 traps that cost points

Meet **Glitch**. He lives in these ten mistakes. Squash each one before May.

Monopolies charge the **highest possible** price! (Not quite.)



01 Price from MR

A monopoly sets quantity where $MR = MC$, then charges the price on the **demand** curve above that quantity.

02 Change in demand vs quantity demanded

A price change moves along the curve; income, tastes and related goods shift it.

03 Shut-down rule

In the short run, a firm shuts down only if price is below minimum AVC, not ATC.

04 Long-run perfect competition

Economic profit is zero in the long run: $P = MC = \text{minimum ATC}$.

05 Elasticity and revenue

If demand is elastic, lowering price raises total revenue; if inelastic, raising price raises revenue.

06 Tax incidence

The side of the market that is more inelastic bears more of a tax, regardless of who pays it legally.

07 Externality curves

Negative externality: MSC is above MPC , so the market overproduces. Positive: MSB is above MPB , so it underproduces.

08 Nash equilibrium

Check each player's best response to the other's choice. A dominant strategy is best no matter what the other does.

09 Monopsony wage

A monopsony hires where $MRP = MRC$ but pays the lower wage from the labor supply curve.

10 Unlabeled graphs

An unlabeled or mislabeled graph usually earns no points.

Quick self-check: a perfectly competitive firm has $P = \$10$, $MC = \$10$ at $Q = 50$, and $ATC = \$12$. Should it produce in the short run? (Yes, if $\$10$ is above minimum AVC: it covers variable costs while losing $\$2$ per unit.)

07

PLAN YOUR YEAR

Your study roadmap to May

A steady plan beats a last-minute rush. Shift the months to match your teacher's pacing, and draw graphs from memory every week.



Sep – Oct

Foundations



Units 1–2

supply & demand

Opportunity cost, PPCs, supply and demand, elasticity and government intervention.

Nov – Dec

Costs



Unit 3

Production, cost curves and perfect competition. Draw side-by-side firm and market graphs daily.

Jan – Feb

Market power



Unit 4

Monopoly, monopolistic competition, oligopoly and game theory. Start one free-response question per week.

Mar – Apr

Factors + failure



Units 5–6

Labor markets, externalities and public goods. Begin full timed sections.

Early May

Sharpen



Graph drills

Draw all seven graphs from memory and label them fully. Review the traps list.

Exam day

May



AP Microeconomics exam

Sleep well, pack your calculator and pens, and use the checklist at the end.

• The final four weeks

Week	Focus	Target
4 weeks out	Diagnose: 30 multiple-choice questions plus one long free-response question	List your two weakest units
3 weeks out	Drill graphs: draw every course graph from memory	All labels correct
2 weeks out	Full practice exam under timing	Finish both sections on time
Final week	Light review: formulas, graphs, traps list	Rest the night before

08 TEST YOURSELF 10 practice questions

Original questions written by ACT SAT GO in the style of the exam, pitched at the harder end. Give yourself **13 minutes** for all ten, then check page 11.

1 UNIT 4 • MONOPOLY

A monopoly faces demand $P = 100 - 2Q$ and constant $MC = \$20$. What is its profit-maximizing price?

- A \$20
- B \$40
- C \$60
- D \$80

2 UNIT 4 • DEADWEIGHT LOSS

For the same monopoly ($P = 100 - 2Q$, $MC = \$20$), what is the deadweight loss compared with the efficient outcome?

- A \$200
- B \$400
- C \$800
- D \$1,600

3 UNIT 2 • ELASTICITY

When the price of a good rises from \$8 to \$12, quantity demanded falls from 120 to 80. Using the midpoint method, demand is:

- A perfectly inelastic
- B relatively inelastic
- C relatively elastic
- D unit elastic

4 UNIT 2 • PRICE CONTROLS

A binding price ceiling is set below equilibrium. What is the result?

- A A shortage, and quantity traded falls
- B A surplus, and quantity supplied rises
- C No effect on the market
- D A shortage, and quantity traded rises

5 UNIT 3 • SHORT RUN

A perfectly competitive firm's price is below its average total cost but above its average variable cost. In the short run it should:

- A shut down immediately
- B raise its price
- C produce where ATC is at its minimum
- D continue producing where $P = MC$, while making an economic loss

6 UNIT 3 • LONG RUN

Firms in a perfectly competitive industry are earning economic profits. In the long run:

- A firms exit and price rises
- B firms enter and price falls until economic profit is zero
- C the industry becomes a monopoly
- D profits stay the same

7 UNIT 5 • FACTOR MARKETS

A firm sells its output for \$5 per unit in a perfectly competitive market.

Workers	1	2	3	4
Total product	10	18	24	28

If the wage is \$30 per worker, how many workers should the firm hire?

- A 1
- B 2
- C 3
- D 4

8 UNIT 6 • EXTERNALITIES

A factory's production creates pollution that is not paid for. Compared with the socially optimal outcome, the market produces:

- A too much at too low a price
- B too little at too high a price
- C the efficient quantity
- D too much at too high a price

08 TEST YOURSELF (continued)

9 UNIT 4 • GAME THEORY

Two firms choose to advertise or not. Payoffs are (Firm A, Firm B) profits in \$ millions.

	B: Advertise	B: Don't
A: Advertise	(4, 4)	(8, 2)
A: Don't	(2, 8)	(6, 6)

What is the Nash equilibrium?

- A Neither advertises: (6, 6)
- B A advertises, B doesn't: (8, 2)
- C Both advertise: (4, 4)
- D There is no Nash equilibrium

10 UNIT 2 • TAX INCIDENCE

A per-unit tax is placed on a good with very inelastic demand and elastic supply. Who bears most of the tax?

- A Consumers
- B Producers
- C The government
- D It is split equally

09

CHECK YOUR WORK

Answer key & explanations

Read every explanation, even for questions you got right. Each one points to a pattern that keeps coming back on the exam.

#	Answer	Why
1	C - \$60	$MR = 100 - 4Q$. Set $MR = MC$: $Q = 20$. Price from demand: $100 - 2(20) = \$60$. Choice A is MC (= MR), not price.
2	B - \$400	Efficient Q is where $P = MC$: $Q = 40$. $DWL = \frac{1}{2} \times (40 - 20) \times (\$60 - \$20) = \400 .
3	D - unit elastic	Midpoint: $\% \Delta Q = -40/100 = -40\%$; $\% \Delta P = 4/10 = 40\%$. $ E = 1$, so demand is unit elastic.
4	A	A ceiling below equilibrium raises quantity demanded and lowers quantity supplied. The shortage means fewer units are actually traded.
5	D	If P is above AVC, producing covers all variable costs and part of fixed costs, losing less than shutting down.
6	B	Economic profits attract new firms, increasing market supply and lowering price until $P =$ minimum ATC.
7	C - 3	$MRP = MP \times \$5$: 50, 40, 30, 20. Hire while $MRP \geq$ wage (\$30): 3 workers.
8	A	Private costs are lower than social costs, so the market overproduces and charges too low a price.
9	C	Advertising is a dominant strategy for both firms ($4 > 2$ and $8 > 6$), so both advertise, even though (6, 6) would be better for both.
10	A	The more inelastic side of the market bears more of the tax. With inelastic demand, consumers pay most of it.

9–10

Strong. Move on to full timed free-response practice.

6–8

On track. Revisit the unit behind every miss on page 4.

0–5

Build foundations now. Draw the cost curves and the monopoly graph from memory until they are automatic.

10 KNOW THE TARGET How students score

In recent years, about 68% of students earned a 3 or higher on AP Microeconomics, and about 19–22% earned a 5. Steady preparation is what moves a score up a full point.

68%

of students earned a 3 or higher in recent years

19–22%

earned the top score of 5 in recent years

3+

is the score many colleges accept for credit or placement

What each AP score means

5

Extremely well qualified

4

Very well qualified

3

Qualified

2

Possibly qualified

1

No recommendation

Ranges reflect recent College Board score distributions and shift a little each year. Credit and placement policies vary by college, so check each college's AP policy.

Exam-day checklist

- ☐ **Bluebook** is installed and updated, and your device passed the exam check
- ☐ Device **fully charged**, plus **two pencils and a dark-ink pen** for the free-response booklet
- ☐ Admission ticket and photo ID, as your school requires
- ☐ Confirm your **exam day and start time** in May with your AP coordinator
- ☐ A **four-function calculator** with fresh batteries
- ☐ Plan your time: about **70 s** per multiple-choice question; **~25 min** for the long and **~12 min** per short free-response question
- ☐ Answer **every** multiple-choice question. Wrong answers don't lose points
- ☐ A **ruler** for neat graphs, if permitted

In the free-response section: draw large, fully labeled graphs, show every shift with arrows and new labels, answer each part in order, and explain the economic cause behind each result.



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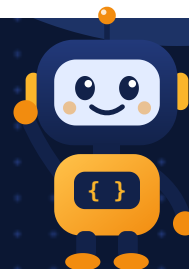
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◆ Contact us

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